ZARA

Revenue Optimization & Pricing Strategy

Eliminating profit bleed, managing markdown dependencies and maximizing floor space efficiency

By Charmmaine Ngesa



THE PROBLEM

Unnecessary price slashing is eroding corporate margins

Zara's retail data shows a critical misalignment between pricing, promotional events and store layouts.

Discount crutch

Broad promotions are used to move inventory.

Cannibalized classes

Blanket discounting hits our most valuable product classes.

Trained shoppers

Loyal customers learn to skip full price and wait for markdowns.

> Consequence: higher transaction friction, inflated logistics workloads and a severe bleed of potential profit margin.

PROJECT OBJECTIVES

Strategic mandates for data-driven optimization

1. Diagnose revenue engines

Identify which clothing categories are the financial foundation.

2. Audit promotional efficiency

Quantify the impact of discounts on sales volume.

3. Map customer behavior

Evaluate gender segments and floor placements against pricing.

4. Deliver margin protection

Give data-proven operating rules to isolate promotions and reclaim margin.

DATA QUALITY

A trustworthy foundation for stakeholder decisions

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Validated structure

Row audits across the whole catalog confirmed zero duplicates.

Resolved gaps

Text nulls in descriptions and names got placeholder classes, so no rows were deleted.

Engineered KPI

Revenue = price × sales_volume grounds every value analysis.

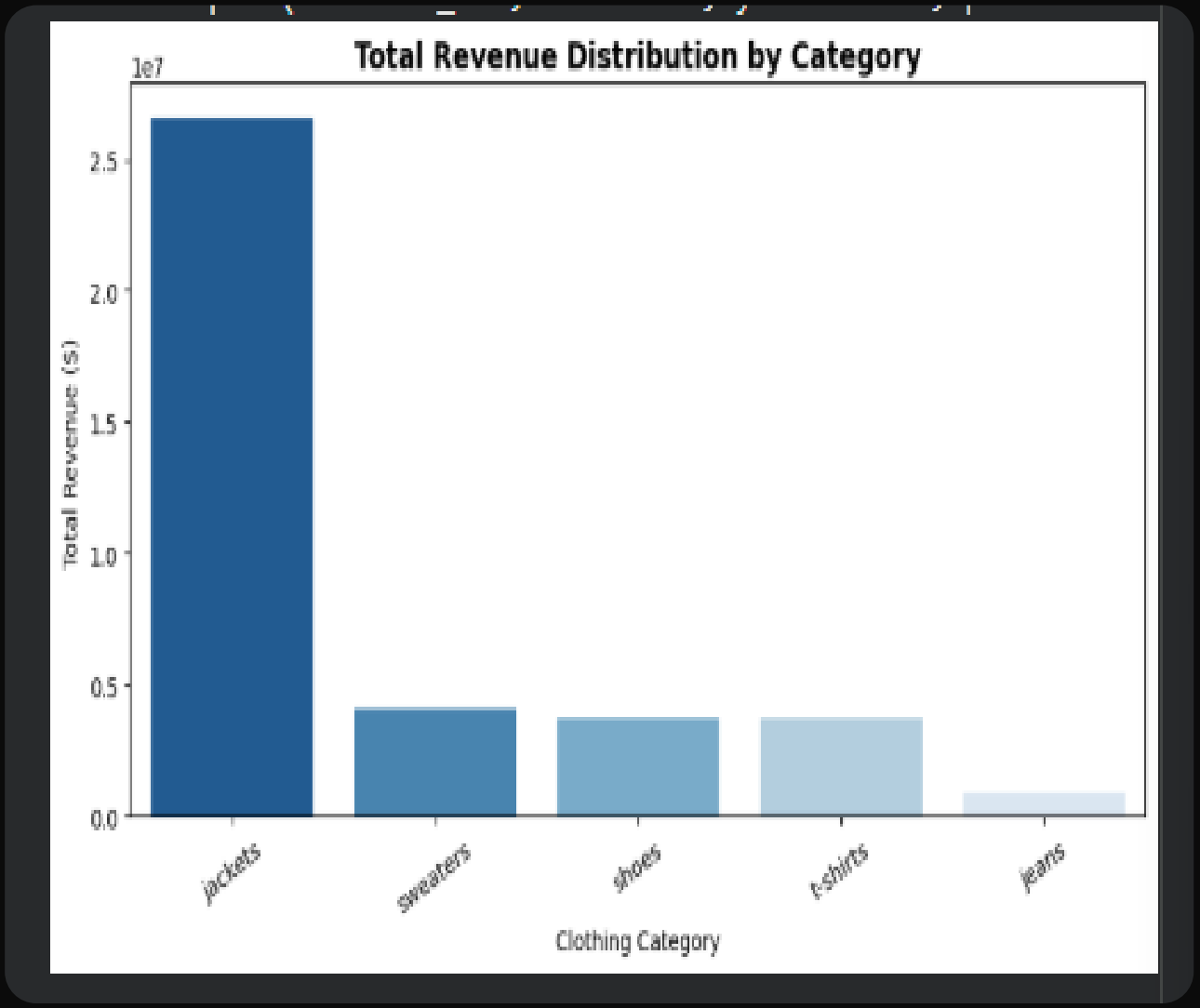
CATEGORY BASELINE

Jackets are the undisputed financial backbone

Jackets bring in $26.6M, more than every other category combined.

Sweaters, shoes and t-shirts sit flat at about $4M each. Jeans bring in $864000.

> Stability rests on one product class. Margin erosion in jackets threatens corporate profit.



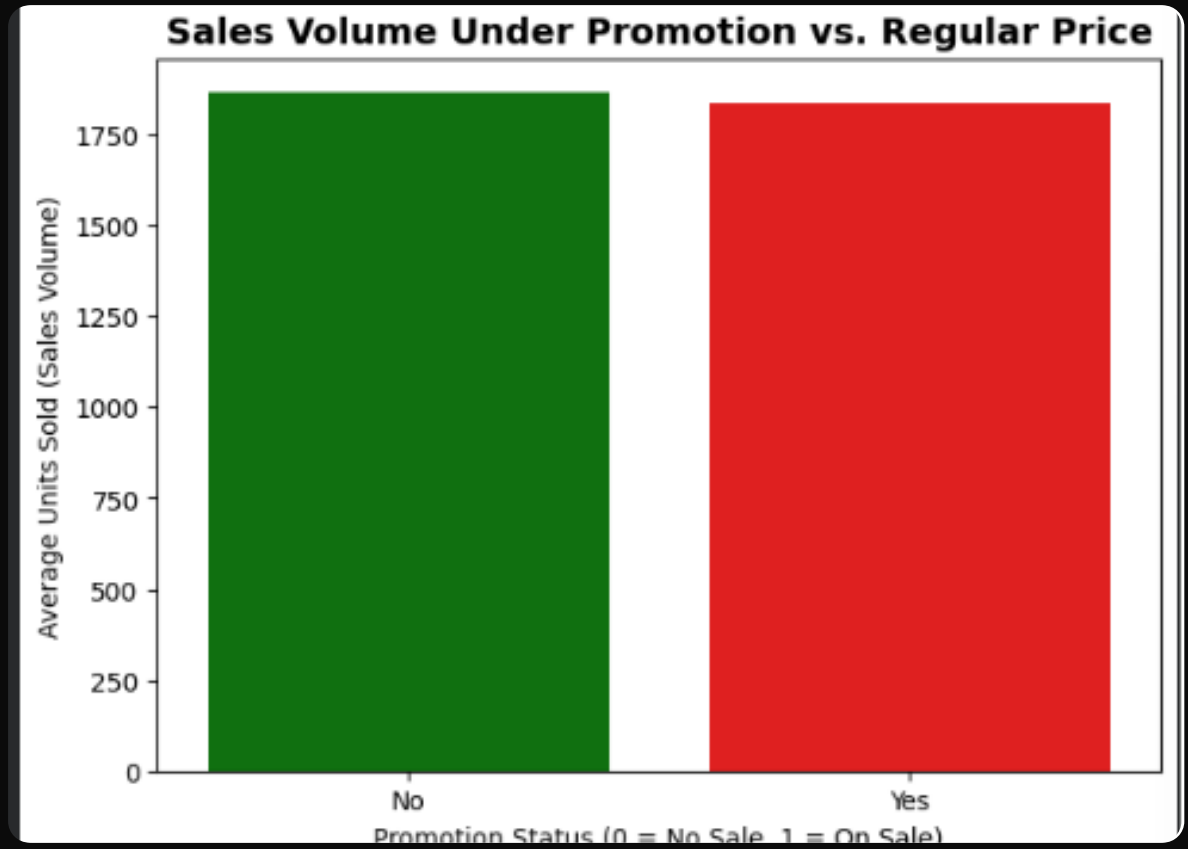
PROMOTIONAL EFFICIENCY

Promotions fail to stimulate volume

Full-price periods average about 1,850 units sold per product.

Promotions average about 1,820 units, slightly lower.

> Discounts are not driving extra volume. They cut margin while moving fewer units.



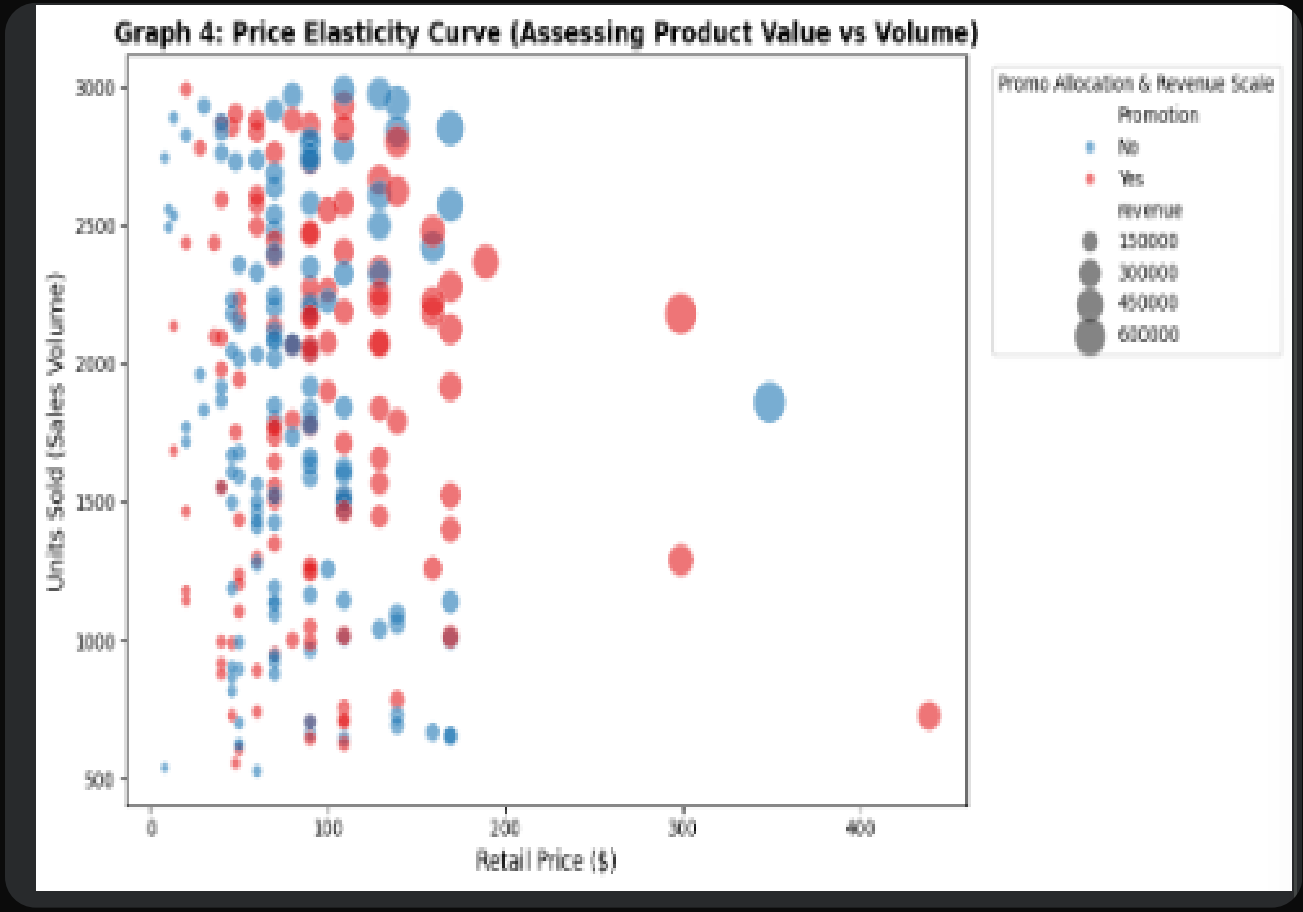
PRICE ELASTICITY

Price alone does not explain volume

Promoted and full-price products overlap across the whole price range.

Cheaper tags do not reliably buy more units, which supports protecting premium prices.

> The largest revenue bubbles sit at higher price points, around $300 to $350.



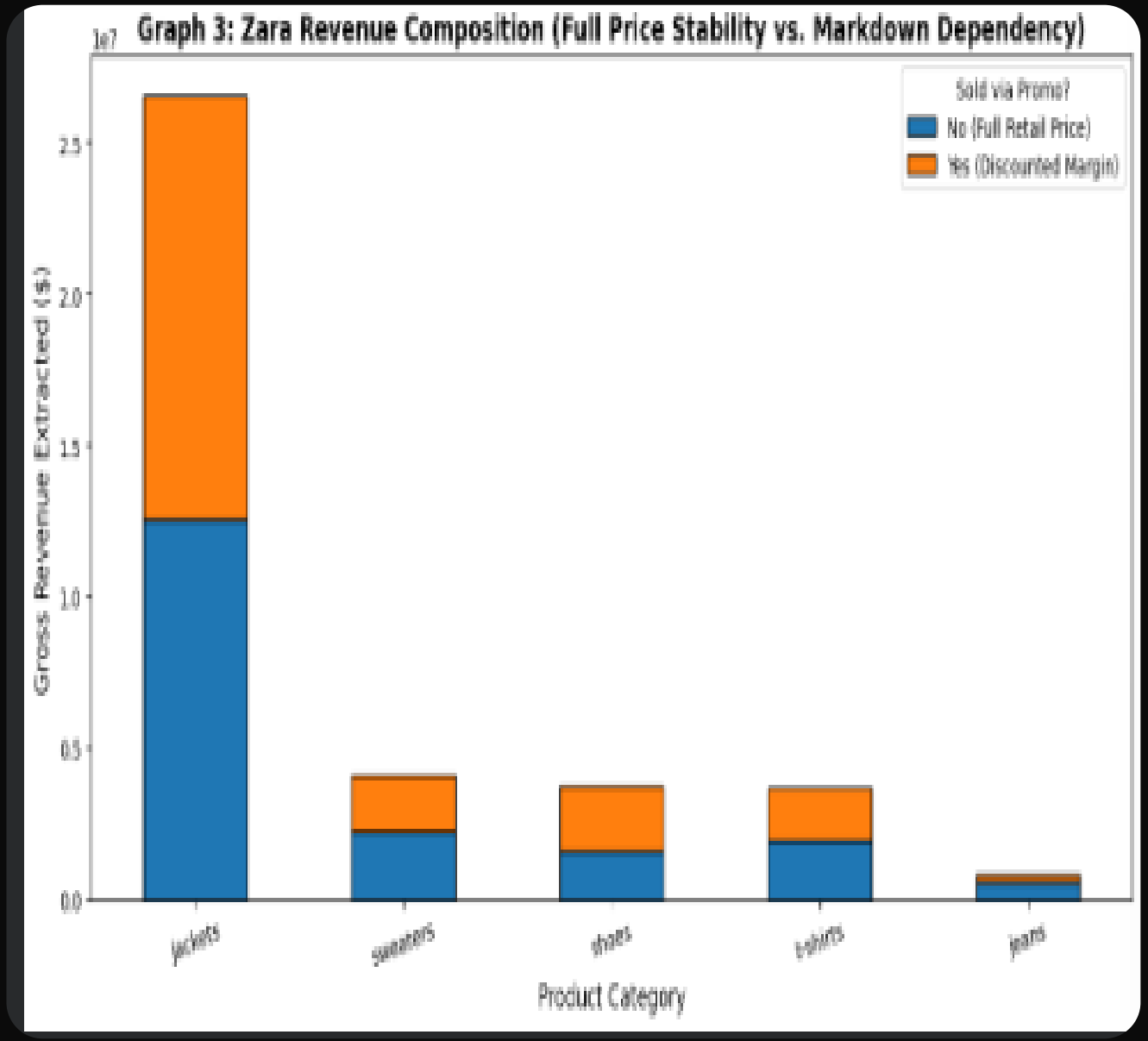
MARKDOWN DEPENDENCY

Half of our primary cash engine sits in markdown cycles

Jackets split about 50/50 between full-price and discounted revenue.

Shoes lean on discounts, while t-shirts and sweaters stay full-price dominant.

> Customers are being trained to treat premium jackets as discount items.



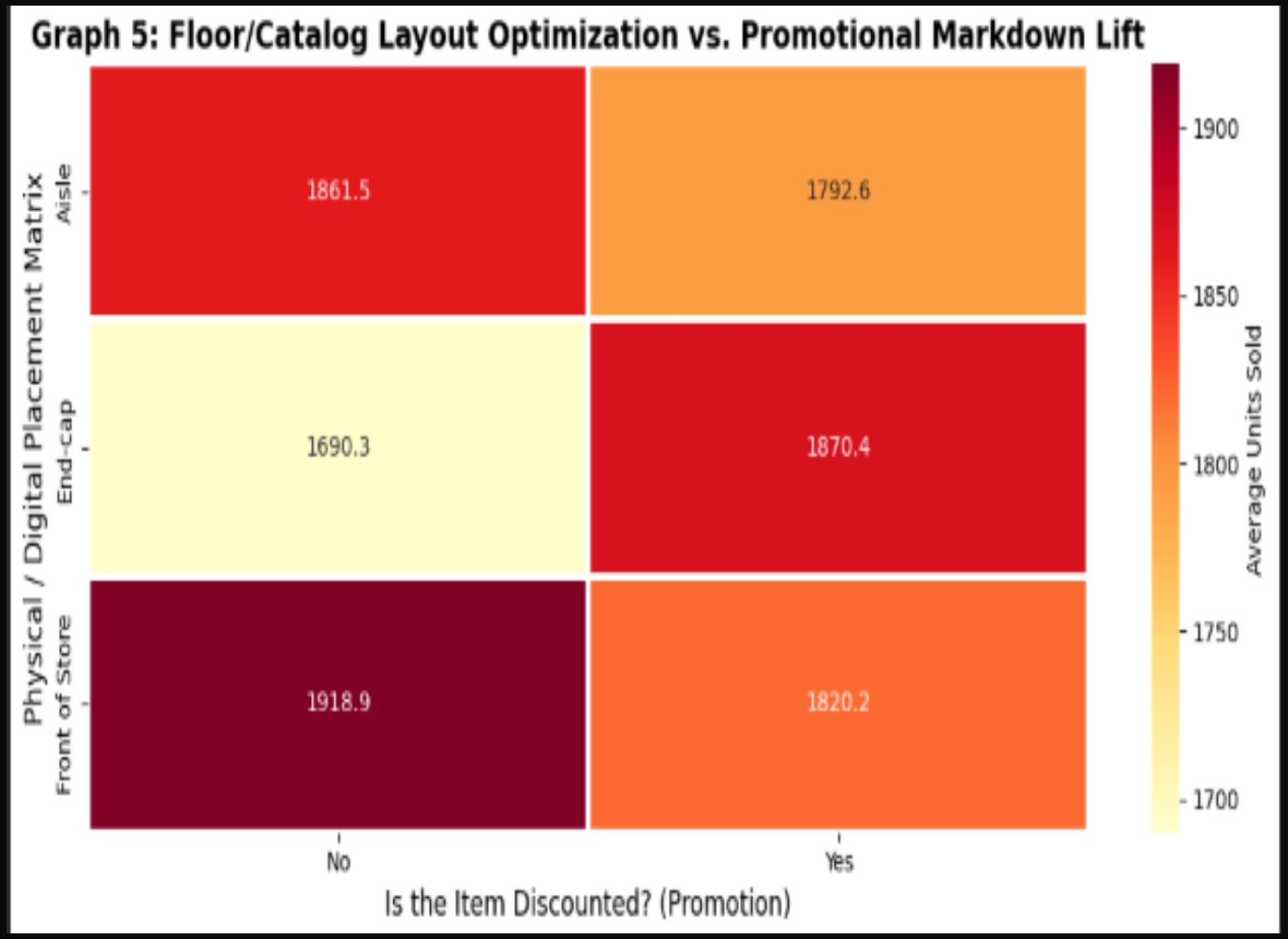
STORE LAYOUT

Front-of-store placement drives sales; discounts hurt it

Full-price front-of-store peaks at 1,918.9 average units; discounted drops to 1,820.2.

End-caps are the only spot where promotions lift volume, from 1,690.3 to 1,870.4.

> Quarantine markdowns to end-caps and the back of the house.



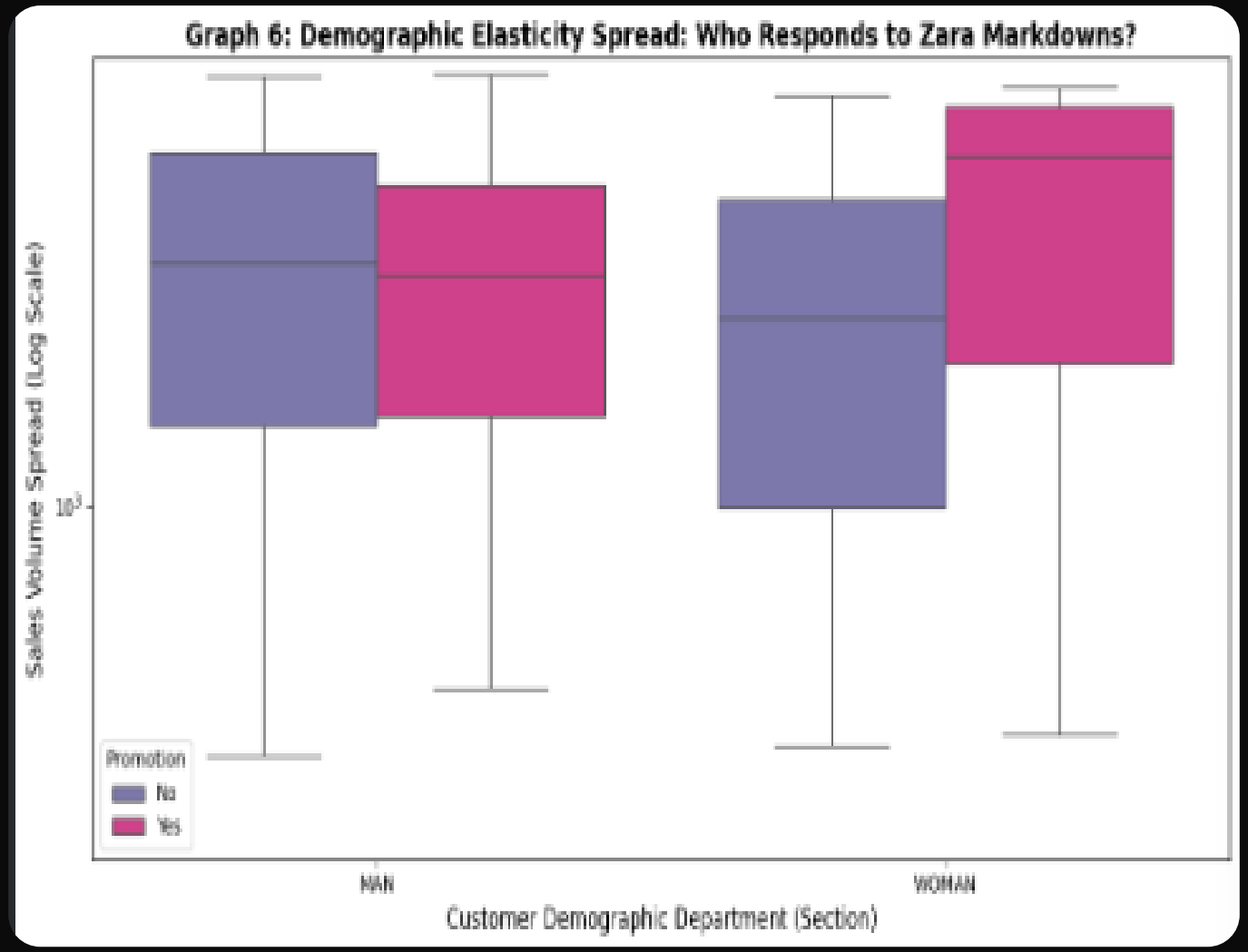
DEMOGRAPHIC PATTERNS

Menswear sales thrive on price stability, while womenswear thrives on strategic markdowns.

Menswear volume stays flat or dips during promotions.

Womenswear volume shifts clearly upward during promotions.

> A store-wide markdown strategy gives away margin on shoppers who buy regardless.



EXECUTIVE ACTION PLAN

Strategic actions to reclaim margin

1. Freeze jacket prices

Halt markdowns on high-priced jackets and rebuild full-retail brand value.

2. Split promo budgets by gender

Remove markdown banners from menswear; focus clearance on womenswear.

3. Maximize front-of-store

Give primary front space to full-price premium inventory.

4. Restrict markdowns to end-caps

Physical and digital end-caps trigger impulse buys without hurting the brand.